Has the Euro always been a political, rather than a purely economic, project?

Writing about the Eurozone's multiple synchronous crises of the early 2010s, Jay Shambaugh noted that European leaders' political attachment to the Euro was an obstacle to reforming the currency.[1] He was right - there was a significant political component to the Euro's existence that confounded sensible economic decision-making. Despite awareness of the currency arrangement's vulnerability, European policymakers were willing to do 'whatever it takes' - and spend whatever it took - to preserve it. Constructed over an extended period through the expenditure of enormous political capital, this essay will assess the relative balance of political and economic factors in the Euro 'project'. A project is an undertaking with a particular purpose, made over a specific period. This essay will regard the Euro 'project' as the process of monetary union that led to the creation of the Euro, with the adoption of the currency in 1999 as its endpoint. There is debate over the exact starting point for the process of European monetary union. It might have been in 1957, with commitments made in the Treaty of Rome; in the 1960s, with the emergence of academic interest in a single currency; or in the Werner Report of 1970. There was no single defined origin point or rationale for the single currency. Nor was a single actor or economic philosophy behind monetary union. Instead, different actors engaged in this diplomatic process for a variety of largely political reasons - their own self-national interest and higher-minded causes of European integration. Relatively few, outside a limited 'monetarist' camp, pursued monetary union solely on the belief that the Euro would legitimately yield positive and coherent economic effects across the member states.

A purely economic case for a European single currency was met with some scepticism throughout this period. The Euro's policymaker originators, if they were not behaving according to an alternative set of economic principles, could not have been pursuing a purely economic project. Europe was known to be

[1] J. C. Shambaugh, 'The Euro's three crises', *Brookings Papers on Economic Activity* (Spring 2012), pp. 157–231.

economically unripe for monetary union for multiple reasons. At numerous junctures throughout the 1970s and 1980s, policymakers saw this not as a reason to abandon the goal of monetary union, but instead as an obstacle to overcome through the deployment of political tools. By considering the European community's position through the lens of Optimal Currency Area (OCA) theory, the weakness of a purely economic case for the Euro becomes clear. At the time of Maastricht, European policymakers recognised that the countries in the EEC would struggle to meet most of the tests of an OCA. The practical purpose of an OCA, a theory first posited by Robert Mundell in the 1950s, was to determine which areas were best suited to share a common currency.[2] That such a problem generated relatively little consternation among policymakers, with Paul De Grauwe suggesting that the OCA theory "taught at universities had almost no influence on the decision-making process that led to the creation of the Eurozone", brings into doubt suggestions that the project of monetary union was predicated on a purely economic calculus.[3] OCAs were not a fringe or emergent doctrine, but a mainstream one whose originators were very close to the centre of debate around monetary union. Mundell was himself highly involved in the process and, although a powerful supporter of the Euro, did not defend it as one.[4]

Firstly, because the countries which made up the European Community experienced significantly divergent economic trends and changes in relative competitive position, the putative Eurozone was known to be at high risk of asymmetric shocks if operating as a currency area. Secondly, the countries within the European Community did not have sufficient labour and capital mobility to allow the economy to adjust to shocks without a change in the exchange rate. There is evidence that European policymakers were aware of both these challenges throughout the period under consideration. The 1970 Werner Report, an early statement of the European Commission's interest in monetary union, identified the "liberation of

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[2]R. A. Mundell, 'A theory of optimum currency areas', *The American Economic Review* 51 (1961), pp. 657–665.
[3]P. De Grauwe, 'The political economy of the Euro', *Annual Review of Political Science* 16 (2013), p. 155.
[4]A. Lindbeck, 'Robert A. Mundell – interview', Nobel Prize, December 1999, available at https://www.nobelprize.org/prizes/economic-sciences/1999/mundell/interview/.

movements of capital" as one of the key sticking points.[5] The problem of capital mobility was addressed in the mid-1980s during European policymakers' final push for monetary union, as they drafted the Single European Act. Correcting these problems of capital flow and aligning Europe with increasingly popular market-oriented economic policies, Michelle Chang argues that the Act provided "impetus for further monetary integration."[6] Instead of a currency union being the inevitable consequence of prevailing economic conditions, adjustments had to be made across Europe to enable its development.

Monetary coordination between European states was always necessary for the proper functioning of the Common Market laid out in the 1957 Treaty of Rome. However, the degree to which complete monetary union - especially currency union - was ever economically necessary for the maintenance of the common market is more doubtful. Robert Mundell, in his famous trilemma, suggested that free capital movement and fixed exchange rates could not coexist with independent national monetary policy.[7] The collapse of Bretton Woods in the 1960s–70s, driven by rising capital mobility, offers a case in point. Tommaso Padoa-Schioppa would later offer a reformulation of Mundell's proposition for the 1980s, better suited to Europe's requirements because it allowed for the imposition of further trade controls. However, whether capital market liberalisation requires a currency union is much less certain. Both economists were closely involved in the process of European integration and saw exchange rates as best removed, "the monetary equivalent of a human appendix or tonsils."[8]

The conclusions of the Marjolin Report, produced by the European Commission in 1975 in response to the implosion of the snake and the failure of the Werner Plan to achieve meaningful progress

[5]Commission of the European Communities, *Report to the Council and the Commission on the realisation by stages of economic and monetary union in the Community* ['Werner Report'] (Luxembourg, 1970), p. 8.
[6]M. Chang, *Monetary integration in Europe* (Basingstoke: Palgrave Macmillan, 2009), p. 31.
[7]R. A. Mundell, 'Capital mobility and stabilization policy under fixed and flexible exchange rates', *The Canadian Journal of Economics and Political Science* 29 (1963), pp. 475–485.
[8]M. D. Bordo and H. James, 'Trapped in the trilemma: when security trumps economics', NBER Working Paper no. 30506 (October 2022), p. 4.

towards monetary union, explicitly stress that the development of monetary union would have to result from a political choice. It was, the report suggests, a lack of "political will," and a tendency within member countries to ask "too many questions about longer-term problems" that had obstructed progress towards monetary union.[9] Perhaps this meant that the economic rationale for monetary union was not strong enough to override the "centrifugal" tendencies of European states, which were more concerned with their own affairs than with pan-European collaboration.[10] The report's conclusion suggests that the process of European monetary union, at least in the 1970s, cannot be considered without reference to the political dynamics of the European Community. If a monetary union were to take place, it would have to be accompanied by a political project.

A European integrationist rationale has often been suggested for the Euro, particularly by elected politicians. This argument usually relies on the notion that European monetary integration is necessarily conducive to European political stability. It suggests that the Euro was a project designed to build monetary interdependence in pursuit of a political goal. Mario Draghi and Jaime Caruana, then President of the ECB and General Manager of the BIS respectively, would write in 2012 that the project of monetary union was an initiative driven principally by the "political will to… set Europe on course toward an ever-closer integration."[11] Former British prime minister Edward Heath, one of the EEC's champions in that country, echoed this sentiment in the closing salvo of his valedictory speech in Parliament. Using his final few words in the House of Commons chamber to restate his avowed support for Britain's entry into the Euro and campaign for a 'yes' vote in a then-anticipated referendum on the matter, Heath recalled his experience of the "devastation wrought upon the continent" by war.[12] It was this experience that Heath cited as his principal reason for supporting "a united Europe." Such a position

[9]Commission of the European Communities, *Report of the Study Group Economic and Monetary Union 1980* ['Marjolin Report'] (Brussels, 1975), p. 5.
[10]'Marjolin Report', p. 2.
[11]H. James, *Making the European Monetary Union: the role of the Committee of Central Bank Governors and the origins of the European Central Bank* (Cambridge, MA: Harvard University Press, 2014), p. ix.
[12]Hansard, HC Deb (9 May 2001), vol. 368, col. 116.

was not uncommon among policymakers across Europe and in Britain. It is also a clearly political one.[13] Heath brought the UK into the EEC over the course of a series of negotiations that ran from 1970 to 1972, a process that began while the Werner Plan was gestating and concluded before it became clear that it did not offer a realistic pathway towards monetary union. Heath's departure from office in 1974 and replacement by the less Europhilic Harold Wilson prevented Britain from playing a serious future role in the development of the European Monetary Union. It was from this point onwards, and by the mutual consent of their leaders, as Emmanuel Mourlon-Druol suggests, that "Franco-German cooperation" became the central pillar of European monetary integration.[14] At the international diplomatic level, political allegiance to a European cause played a significant role in determining who could contribute to the Euro project.

Throughout this period, many European policymakers argued that a currency union was an economically appropriate path for Europe, despite the bloc's shortcomings as an OCA. The theoretical basis for this position, influential in the deliberation of the Delors Committee and expressed in the report, was monetarism. Such a position was not 'monetarism' à la Milton Friedman, but rather the belief that economic convergence could result from monetary union. Monetarism was not, however, a wholly consensual idea. It was regularly brought into question by another tribe within the European Community - the 'economists.' Principally from creditor countries, this grouping instead suggested that monetary union be the final 'coronation' of a longer process of fiscal synchronisation. The nature of the debate between monetarists and economists, split between different clearly defined national blocs, illustrates just how political the formative conflicts behind the Euro were.[15] Despite the masking of their intentions by journalistic labels such as 'economist' or 'monetarist', most of the actors who shaped the process of European monetary union did not act on consistent economic principles. Their objectives were instead

[13]Hansard, HC Deb (23 February 1999), vol. 326, col. 190.
[14]E. Mourlon-Druol, *A Europe made of money: the emergence of the European Monetary System* (Ithaca: Cornell University Press, 2012), p. 37.
[15]Chang, *Monetary integration*, p. 23.

determined mainly by their specific national interests, springing from questions of political economy rather than 'pure' technocratic economic optimisation. By considering the negotiating positions of the two most significant players, France and West Germany, one can better understand how political the Euro project was.

In France, a political question of monetary power dominated debate around monetary union. From the implementation of the European Monetary System onward, French policymakers harboured enormous concern that they had, in essence, handed their country's monetary sovereignty over to Germany and its Bundesbank. France and other European countries with relatively weak currencies followed the Bundesbank's interest rate decisions, thereby being reduced to a subordinate position in the European monetary hierarchy. De Grauwe has argued that the French determination to pursue monetary union, as evidenced by their eager participation in the diplomatic process of the Euro's founding, was grounded in a clear political objective: resolving this imbalance.[16] The EMS, which Axel Weber and others describe as tantamount to a renewed version of the Deutsche Mark zone that had developed in Northern Europe under the snake, formalised German monetary leadership in Europe.[17] This monetary imbalance was not the only political factor weighing upon French policymakers' minds. Duncan Needham has pointed to French industrial policy, particularly efforts to increase the dynamism of the French industrial economy by opening the French market to international competition, as another key factor in French political enthusiasm for monetary convergence.[18] This enthusiasm permeated French political life. Valéry Giscard d'Estaing, president throughout the second half of the 1970s, was remarkably clear in his determination to achieve monetary union. Faced with the failure of the Werner Plan, Giscard treated monetary union as an end in itself, a process by which to bolster French influence rather than just a means

[16]De Grauwe, 'Political economy of the Euro', p. 156.
[17]A. Weber, 'Reputation and credibility in the European Monetary System', *Economic Policy* 6 (1991), pp. 58–102.
[18]D. J. Needham, 'Snakes and ladders: navigating European monetary union', in *The political economy of the Eurozone*, eds. D. D. Coffman, R. Scazzieri, and I. Cardinale (Cambridge: Cambridge University Press, 2017), p. 142.

to economic growth. Upon meeting Giscard in 1978 as president of the European Commission, Roy Jenkins remarked upon his "extremely hard and firm" commitment to the specific end of monetary union.[19]

French negotiators had to make sacrifices to assuage German opposition at various stages of the monetary union process. These were political choices. The success of monetary union, and by extension the Euro project, was only assured by France's convergence with Germany's political-economic standards. Helmut Schmidt, German Chancellor in the late 1970s and early 1980s, declared as much in a secret speech to the Bundesbank's council in 1978. His pursuit of monetary union through the EMS, he told the council, had been contingent on an understanding with Giscard that his victory in the 1978 French elections would ensure the nation maintained a "continuous economic policy of stability" for the next four years of negotiation.[20] Along the same lines, the decision taken in 1983 by Giscard's successor, François Mitterrand, to remain in the ERM and pursue fiscal austerity- his *tournant* - was a political choice necessary for the survival of the project of monetary union. The *tournant* has been described by Duncan Needham as a "defining moment" in the process of monetary union.[21] Indeed, Mitterrand's prescription that the French budget deficit not exceed 3% of GDP, a decision taken on the advice of finance minister Jacques Delors, would later come to form a part of Germany's fiscal-financial criteria for Eurozone membership in the form of the Stability and Growth Pact.

Events of 1983 illustrate the degree to which negotiations around monetary union constituted a political bargain for France. Concerned by French trade deficits with Germany, Mitterrand leveraged monetary threats and political guarantees to extract a commitment from the recently elected Chancellor Helmut Kohl to revalue the Deutschmark. In a set-piece foreign policy speech given in the Bundestag in

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[19]Mourlon-Druol, *A Europe made of money*, p. 36.
[20]'EMS: Bundesbank council meeting with Chancellor Schmidt (assurances on operation of EMS)', available at https://www.margaretthatcher.org/document/111554.
[21]Needham, 'Snakes and ladders', p. 141.

January, Mitterrand affirmed both his commitment to the Franco-German alliance and his support of a controversial plan to rearm Germany with American Cruise and Pershing missiles. This speech, David Marsh suggests, was a deliberate attempt to purchase political goodwill Germany, which would in turn be expended on monetary matters.[22] Coupling this carrot with a stick, he soon threatened, through Delors, to withdraw the Franc from the EMS. This position quickly scared the Germans, who negotiated a currency deal that saw Germany absorbing much of the adjustment costs, with the Deutschmark moving by 5.5% against a Franc devaluation of just 2.5%. Remaining in the ERM, standing by Kohl's security plans, and pursuing domestic fiscal restraint were thus a "quid pro quo" for Mitterrand. In this instance, as with many others, monetary union represented another way for France to regain some control of its monetary destiny. It was not purely a question of economics.

Within Germany, the political-economic calculus of monetary union was not as simple as in France. Both the Bundesbank and large sections of the electorate harboured significant doubts about the merits of monetary union with Germany's less fiscally disciplined neighbours. The burden that the symmetrical policy adjustments demanded by currency union would place upon Germany was well known in the 1990s. Dutch central banker Marius Holtrop contemporarily described the situation as one in which the thrifty German ant would be forced to take the fiscally imprudent decision to share with profligate southern crickets.[23] By supporting monetary union, German policymakers in the 1980s set the direction of their national political economy. By encouraging German capital outflows, European currency integration might have helped address a persistent issue of the Deutschmark's appreciation against the dollar. By pursuing monetary union to push down the value of their currency (and currency union to push down the value of their currency against a hypothetical Deutschmark), German policymakers were looking to protect the competitiveness of German industry and exports within Europe. In the late 1970s, then-Bundesbank vice president Karl Otto Pöhl outlined the rationale for Germany's

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[22]D. Marsh, *The Euro: the politics of the new global currency* (London: Yale University Press, 2009), p. 100.
[23]A. Szász, *The road to European monetary union* (Basingstoke: Macmillan, 1999), p. 13.

negotiating position. If the "high valuation of the D-Mark against the dollar continues," Pöhl wrote, "then this might not only endanger our economic recovery but also give rise to structural changes… that could lead to permanent massive unemployment."[24] However, it is not clear that a monetary union, much less a single currency, was actually required for such a development. A single market coupled with fixed exchange rates would have achieved a similar outcome. The Bundesbank made this case to German politicians in 1988, arguing that "the EMS in its present form would … provide sound underlying conditions for the internal market to function smoothly."[25] German politicians advanced the Euro project onwards despite knowing that it was unsound on a purely economic level.

Given the degree of Bundesbank opposition and the fiscal dangers posed by monetary union, some have suggested alternative rationales for German policymakers' support. Looking at the origins of monetary union in European debates of the late 1960s, Duncan Needham has, among others, emphasised the German desire for unification as a reason for Bonn's support of monetary union.[26] Dutch central banker André Szász argued that German Chancellor Willy Brandt's interest in monetary union - unusual for a man with few areas of particular economic interest - was really a concession to the rest of Western Europe, made to secure a "free hand" to normalise relations with the East.[27] German support for monetary union was thus a facet of Brandt's 'Ostpolitik' - an effort to accommodate French interests to maintain political support for other political projects. Just as Mitterrand treated the EMS as a political football in the 1980s, Brandt did the same with the broader strokes of monetary union in the 1960s.

Monetary union was also a German project to reduce the US dollar's international influence as a reserve currency - a joint economic and political mission. Unwilling to adapt to the pressure of the

[24]Marsh, *The Euro*, p. 79.
[25]M. Chang, 'Franco-German interests in European monetary integration', in *Monetary orders: ambiguous economics, ubiquitous politics*, ed. J. Kirshner (Ithaca: Cornell University Press, 2003), p. 228.
[26]Needham, 'Snakes and ladders', p. 135.
[27]Szász, *Road to European monetary union*, p. 29.

Deutschmark becoming a global reserve currency, Germany sought to share this pressure with other European countries. The overall period saw multiple damaging episodes where the value of the US dollar collapsed (particularly in the late 1970s and late 1980s). Without the free capital flows enshrined in law by Maastricht, such episodes caused destructive imbalances within the German economy - driving the value of the DMark up relative to other currencies. Schmidt's publicly stated aim was to shield Germany, and other European Community members, from the threat of such "dollar calamity" - something he sought to achieve through further European currency collaboration. Although there was a political trigger to this concern in the late 1970s - Schmidt believed US President Jimmy Carter was a "dangerous nitwit" - one can add this to the pile of national economic factors behind the Euro.[28] The EMS partially met this objective. Harold James has argued that the Delors report and the shift towards currency union heralded were an effort to address economic vulnerability further. Drawing on the Delors committee minutes, James suggests that the importance of German unification to the story of the Euro, as presented in the Maastricht Treaty, is often overstated. The committee finished meeting months before the collapse of East Germany became inevitable with the fall of the Berlin Wall. Instead of the immediate geopolitical shifts of the period, James emphasises the importance of the US dollar's fluctuations when understanding the German negotiating position. Jacques Delors made his position clear on this in a meeting of the committee of European central bank governors in March 1987, claiming that "the manner in which the [EMS] functioned" in response to a recent dollar shock "had gravely hurt its credibility and that of Europe as a whole."[29]

Decisions on the design of the institutions undergirding the Euro did not result from mutual consent among European states. Negotiations around the time of Maastricht reveal how different states lobbied for the representation of their own particular national interests in institutions, including the forthcoming ECB. The victory of a German-led coalition allowed them to impose their economic interests

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[28]Marsh, *The Euro*, p. 78.
[29]James, *Making the European Monetary Union*, p. 220.

upon the project. It was on this basis that British minister Nicholas Ridley, one of the keenest British Eurosceptics of the early 1990s, characterised monetary union as a "German racket designed to take over the whole of Europe".[30] Surveying negotiations on the structure of European monetary institutions, it becomes clear that each country was pursuing their individual economic interests doggedly. In the run-up to Maastricht, French policymakers pressed for a political counterpart to the independent ECB. Concerned about the subordination of economic growth to a German desire for price stability, the French finance minister Pierre Bérégovoy proposed an alternative arrangement, his *gouvernment economique*. The Germans would not budge in negotiations, making clear that central bank independence and strict fiscal convergence criteria for member states were necessary for Bundesbank acceptance of any monetary union.[31] With the Bundesbank already wary of monetary union, German negotiators successfully stood their ground. German control over the Euro's institutional design extended beyond just rate-setting and reflected other national preferences. Despite the UK's lobbying for the ECB to adopt a model of financial sector supervision like the Bank of England's, German negotiators, concerned about the possibility of moral hazard, ensured the ECB did not assume responsibility for banking supervision. The "German philosophy of regulation" pushed by Karl Otto Pöhl, then Bundesbank president, prevailed, as many other German initiatives had in shaping the European Central Bank.[32] De Grauwe claims this as a victory for specifically German concerns about price stability.[33] It was, he argues, a principled belief that "financial instability could not occur in a world where the central bank keeps inflation low," which guided policymakers towards this arrangement.

The outcome of Germany's victory in shaping the ECB's structure was to allow it to shape the Euro project in accordance with its own national economic interests. These were somewhat monetarist in the Friedmanite sense. The German vision of monetary union, which imposed the Bundesbank's minute

[30]D. Lawson, 'Saying the unsayable about the Germans', *The Spectator*, 14 July 1990.
[31]Chang, *Monetary integration*, p. 47.
[32]James, *Making the European Monetary Union*, p. 316.
[33]De Grauwe, 'Political economy of the Euro', p. 157.

focus on price stability upon Europe, where the elimination of ineffective, confused and overly engaged national monetary policies would counter inflation. De Grauwe argues that this belief stemmed from the view that excessive central bank interference created inflationary biases.[34] The 1990 European Commission's report *One market, one money* explains how a forthcoming 'Euro Fed' would deploy monetary policy to control inflation.[35] Willem Buiter has suggested that excluding weaker currency nations from the EMU was another "key albeit unstated objective of the (mostly Dutch and German) drafters of the original fiscal-financial Maastricht criteria."[36]

The limited scope of this essay means that it presents a rather arbitrary window in the wider political narrative of the Euro, a currency whose politics and institutions have continued to evolve far into the 21st century. However, it allows for adequate discussion of the motivations behind the Euro. Participants in this process almost inevitably sought to represent their own interests in international debates around monetary union. These interests included the performance of their own national economies, their foreign policy agendas, and their security objectives. Except for instances where their perceived individual interest aligned with those of Europe as a wider bloc (as was the case with Schmidt and shoring up Europe against fluctuations in the US dollar), negotiators seldom acted out of purely economic concern for Europe's future. This was not always properly conveyed by the language which negotiators used in public. Individual countries sought to pursue their own domestic economic interests while cloaking them in the diplomatic language of continental collaboration and economic necessity. Emmanuel Mourlon-Druol notes this when considering the various usages of the word 'symmetry' in European monetary disputes of the period. Calls for monetary symmetry, deployed at times as Mourlon-Druol claims, as a "French code word for reduced German influence", were often an "excuse aimed at

[34]ibid.
[35]Commission of the European Communities, *One market, one money*: study of the Directorate-General for Economic and Financial Affairs (Brussels, 1990), p. 87.
[36]W. H. Buiter, 'The "sense and nonsense of Maastricht" revisited: what have we learnt about stabilization in EMU?', *Journal of Common Market Studies* 44 (2006), p. 692.

hiding the inability to follow an economic and monetary policy consistent with European ambitions."[37] Even when pursuing the Euro project was a political choice, few European policymakers were willing to admit it.

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[37]Mourlon-Druol, *A Europe made of money*, p. 22.

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